require capital, technology and labour, all being typically difficult to manage for India. For capital requirement, the Government decided to depend upon internal and external sources to procure it. For rupee requirement of capital, the government decided to set up the financial institutions (FIs). To a limited extent FIs also served the foreign currency requirement (as in the case of the ICICI). Though India was having banks but due to low saving rate and lower deposits with them, the upcoming industries could not be financed. The main borrowers for industrial development were the PSUs. To support the capital requirement of the 'projects' of the public sector industries, the government came up with different types of financial institutions. The industrial financing supported by these financial institutions was known as project financing in India.

FINANCIAL INSTITUTIONS

The requirement of project financing made India to go for a number of FIs from time to time which are generally classified into four categories[20] :

1. All India Financial Institutions (AIFIs)

IFCI (1948); ICICI (1955); IDBI (1964); SIDBI (1990) & IIBI (1997). All of them were public sector FIs except the ICICI which was a joint sector venture with initial capital coming from the RBI, some foreign banks and FIs. The public sector FIs were funded by the Government of India.

By 1980s, all Indian banks had wider capital base and by early 1990s when the stock market became popular, it became easier for the corporate world to tap cheaper capital from these segments of capital market[21]. The era of economic reforms had given the same option to the PSUs to tap new capital. As the AIFIs had more or less fixed rate of interest as compared to the banks which could mobilise cheaper deposits to lend cheaper—the AIFIs seemed to become irrelevant. The AIFIs witnessed a sharp decline in recent years.[22] At this junction the Government decided to convert them into **Development Banks**[23] (suggested by the Narasimhan Committee-I) to be known as the All India Development Banks (AIDBs).